

Advanced Corporate Finance

ACADEMIC YEAR 2025 - 2026

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Format: 5 lectures, 1st to 3rd December 2025

Course description: This course is the starting point to carrying out research in theoretical or empirical corporate finance. The course will provide a framework to understand and further develop the determinants of corporate policies, including financing, investment, risk management and dividends. We will analyze the economic determinants of corporate policies and discuss the **quantitative implementation**.

Materials: Lecture notes and readings. Reading the papers on the reading list before each lecture is strongly encouraged.

Prerequisites: The course is self-contained and there are no formal prerequisites. However, prior knowledge of elementary concepts in Corporate Finance and Econometrics (GMM and Maximum Likelihood estimators) are a plus. These concepts will be presented in class as we go along but developed in detail later on in the program in the core and elective courses.

Some useful references to consult before or during the course are:

1. Tirole, J., *The Theory of Corporate Finance*, Princeton University Press;
2. Dixit, A. and Pindyck, R., *Investment Under Uncertainty*, Princeton University Press.
3. Moreno-Bromberg, S. and Rochet, J.-C., *Continuous-Time Models in Corporate Finance, Banking, and Insurance*, Princeton University Press.
4. Stokey, N., *The Economics of Inaction: Stochastic Control Models with Fixed Costs*, Princeton University Press.
5. Davidson, R., and MacKinnon, J., *Econometric Theory and Methods*, Oxford University Press.

Assessment: based on a written research proposal and a final assignment. The research proposal must be a clear statement of a research project **in corporate finance**, which aims to make a contribution to the literature covered in this course. The intended project can be empirical or theoretical. More details on this proposal are included below.

The final assignment will consist of writing a referee report on an assigned paper. More details are included below.

I. OUTLINE OF THE COURSE

1. CORPORATE INVESTMENT AND FINANCING FRICTIONS

(a) Monday morning: Theory

- Static models and the role of net worth;
- Dynamic models: the q theory of investment.

(b) Monday afternoon: Empirical implementation

- Financing constraints in reduced-form;
- q -theory and measurement error;
- Implementing High-Order GMM estimators;
- Other reduced form approaches.

Readings:

Abel, A. and Eberly, J., 1994, 'A Unified Model of Investment under Uncertainty,' *American Economic Review* 84, 1369–1384.

Bazdresch, S., Kahn, J., and Whited, T., 2017, 'Estimating and testing dynamic corporate finance models,' *Review of Financial Studies*, forthcoming.

Chava, S., and Roberts, M. 2008, 'How does financing impact investment? The role of debt covenant violations,' *Journal of Finance* 63, 2085–121.

Erickson, T., and Whited, T., 2000, 'Measurement error and the relationship between investment and q ,' *Journal of Political Economy* 108, 1027–1057.

Fazzari, S., Hubbard, G., and Petersen, B., 1988. 'Financing constraints and corporate investment,' *Brookings Papers on Economic Activity* 1, 141–95.

Hayashi, F., 1982, 'Tobin's marginal q and average Q : A neoclassical interpretation,' *Econometrica* 50, 213–224.

Hennessy, C., 2004, 'Tobin's q , debt overhang, and investment,' *Journal of Finance* 59, 1717–1742.

Hennessy, C., and Whited, T. 2007. 'How costly is external financing? Evidence from a structural estimation,' *Journal of Finance* 62, 1705–1745.

Holmstrom, B., and Tirole, J. 1997. 'Financial Intermediation, loanable funds, and the real sector,' *Quarterly Journal of Economics* 112, 663–692.

Pindyck, R., 1991, 'Irreversibility, Uncertainty, and Investment', *Journal of Economic Literature* 29, 1110–1152.

Pindyck, R., 1988, 'Irreversible Investment, Capacity Choice, and the Value of the Firm', *American Economic Review* 78, 969–985.

Whited, T., 1992, 'Debt, liquidity constraints, and corporate investment: Evidence from panel data,' *Journal of Finance* 47, 1425–1460.

2. CAPITAL STRUCTURE

(a) Tuesday morning: Theory

- Foundations: Static trade-off theories of capital structure;
- Capital structure and asymmetric information;
- Dynamic models: external financing constraints v. adjustment costs.

(b) Tuesday afternoon: Empirical implementation

- Capital structure puzzles;
- Dynamic trade-off models and reduced form testing;
- Structural estimation of capital structure dynamic models.

Readings:

Abel, A., 2018, 'Optimal Debt and Profitability in the Tradeoff Theory,' *Journal of Finance* 73, 95–143.

Baker, M., and Wurgler, J., 2002, 'Market timing and capital structure,' *Journal of Finance* 57, 1-32.

Leary, M., and Roberts, M., 2005, 'Do firms rebalance their capital structures?,' *Journal of Finance* 60, 2575–2619.

Leland H., 1998, 'Agency Costs, Risk Management, and Capital Structure,' *Journal of Finance* 53, 1213–1243.

Leland, H., 1994, 'Corporate Debt Value, Bond Covenants, and Optimal Capital Structure,' *Journal of Finance* 49, 1213–1252.

Morellec, E., Nikolov, B., and Schürhoff, N., 2010, 'Corporate governance and capital structure dynamics,' *Journal of Finance* 67, 803–848.

Hackbarth, D., Hennessy, C., and Leland, H., 2007, 'Can the trade-off theory explain debt structure?,' *Review of Financial Studies* 20, 1389–1428.

Hennessy, C., and Whited, T., 2005, 'Debt dynamics,' *Journal of Finance* 60, 1129–1165.

Hennessy, C., and Whited, T., 2007, 'How Costly Is External Financing? Evidence from a Structural Estimation,' *Journal of Finance* 62, 1705–1745.

Lemmon, M., Roberts, M., and Zender, J., 2008, 'Back to the beginning: Persistence and the cross-section of corporate capital structure,' *Journal of Finance* 63, 1575–1608.

Strebulaev, I., 2007, 'Do tests of capital structure theory mean what they say?,' *Journal of Finance* 62, 1747–1787.

Strebulaev, I., and Whited, T., 2012, 'Dynamic models and structural estimation in corporate finance,' *Foundations and Trends in Finance* 6, 1–163.

3. DYNAMIC CORPORATE FINANCE AND ASSET PRICES

(a) Wednesday:

- q-theory and asset prices;
- reduced form: the q factor model
- Structural estimation and the cross-section of returns;
- Structural estimation of dynamic capital structure models and asset prices.

Readings:

Albuquerque, R. and Wang, N. 2008, 'Agency Conflicts, Investment, and Asset Pricing,' *The Journal of Finance* 63, 1–40.

Berk, J, Green, R., and Naik, V., 1999, 'Optimal investment, growth options and security returns,' *Journal of Finance* 54, 1153–1607.

Carlson, M., Fisher, A., and Giammarino, R., 2004, 'Corporate investment and asset price dynamics: Implications for the cross-section of returns,' *Journal of Finance* 59, 2577–2603.

Liu, L., Whited, T. and Zhang, L., 2009, 'Investment-Based Expected Stock Returns,' *Journal of Political Economy* 117, 1105–1139.

Whited, T., Wu, G., 2006, 'Financial Constraints Risk,' *The Review of Financial Studies* 19, 531–559.

Zhang, L., 2005, The Value Premium. *The Journal of Finance*, 60: 67–103.

II. THE RESEARCH PROPOSAL

Students will prepare a proposal for an original research project concerning one or more of the issues discussed in class. This proposal will be due in early 2026. Please check details of submission with Julie. You should target writing down a document containing:

1. **The idea or research question:** You want to identify a question and start your proposal by stating it. You must then explain, in one or two paragraphs, why it is important that we know the answer to this question. In other words, what are the implications of your answer for research in corporate finance, or for asset pricing, or for policy making? Will your research cast doubt on previous results in the literature? How will your research reinterpret the existing evidence? Will your findings change how we continue doing research or the practice of the Treasury, or portfolio managers? Note that your question must be original: the existing literature has overlooked the issue.

2. **The economics of your inquiry:** once you motivate your research question, you need to think about the intuition to provide an answer and why this is not obvious. This part would take 1 to 2 pages. This is the time to summon the theories or previous empirical results that give a partial but incomplete or unsatisfactory answer to your question. For example, what are the economic tradeoffs involved in your question? Which models exist that have other tradeoffs, but not the one you need in order to address your question? What corporate actions or pricing consequences do these tradeoffs predict? Could I verify them using real data?

You will end this section with a hypothesis, i.e., a formal and specific statement of what the possible answer may be to your question. A hypothesis must be falsifiable: a test can be constructed that can only produce one of two outcomes –the rejection of your hypothesis, or failure to do so.

3. **The methods:** in a page or two, describe the steps you will take to execute the test (or tests) or your hypothesis. Here you can develop the one or few testable hypotheses and the specific statistical tests. Will you use reduced form methods, or calibration, or estimation of a model? Would you use a quasi-natural experiment? Which method is the most appropriate for your study and why? You must explain which data exists and is best suited to execute this method.
4. **Anticipating the results:** You can present some preliminary results if you already have them. These can be empirical results, simulations/calibrations, or anything that convinces us of the feasibility and relevance of the study. In addition, what results should be expected based on your economic priors? What would you conclude if you found the opposite as you predicted? How robust are these results to the assumptions of your model (i.e. , what do these assumptions buy you and cost you)?
5. **A brief literature review:** a fair but brief review of the literature in fewer than 2 pages. The emphasis should be on establishing your case that the “void” in the literature is worth pursuing. Try to organize the papers in a compare/contrast format. You must use this section to motivate the importance of your research question. Remember that a literature review is not a list of papers telling us what each does or claims to do. Instead, a lit review is a synthesis, from which you convince us that you know much more than you can write about, and that you are well aware of what the existing papers have achieved and have not.
6. **Implementation issues:** What problems may you encounter executing this research? Is the existing data insufficient or of poor quality? How would you fix these problems?

Additionally, please make sure that this document is formatted appropriately. That is,

1. Use at least 1.5 of line spacing throughout; use 12pt wide black font, and top, bottom, left and right margins of at least 1 inch.
2. Avoid logos, or headers or footers in every page: a page count at the bottom will suffice.

3. If you use Tables or Figures, include captions describing what you have just plotted or tabulated.
4. Compile your document as a PDF file before submitting; not everyone can read documents produced by your own word processing software (e.g., Microsoft Word);
5. Avoid Microsoft Word or Excel at all costs. They produce ugly documents that are unsuitable to presenting and communicating scientific content. Moreover, they consume an enormous amount of memory. If you don't already use L^AT_EX, start now.

II.1 THE REFEREE REPORT

Early next year (date to be confirmed), you will be assigned a working paper to read and then write a referee report on it. A referee report is a memo written to help the Editor of a top journal decide whether or not the paper is sufficiently important, innovative, and robust to be publishable. Your job is to provide expert and unambiguous advice on the matter.

The best procedure is to follow the guidelines on referee reporting by Berk, Harvey and Hirshleifer (2016). You can find these guidelines [here](#).

Your report should follow the same formatting advice as the Research Proposal. Please check also with Julie for details on exact times for accessing the paper and submitting your report.